

LGBTQ+ Identities, Work, Discrimination, And Labor-Market Institutions

Gender Study — Optional Long Lecture After Week 9

Teaching deck draft

Central question

- How do sexual orientation, gender identity, disclosure, workplace climate, legal recognition, and benefits shape labor-market outcomes?
- Why does LGBTQ+ labor research belong inside labor economics rather than outside the field?
- Which margins do current designs identify, and which margins remain hidden?

identity object → observed labor margin → identification → welfare interpretation.

Why this is labor economics

- The outcomes are labor outcomes: employment, hours, wages, earnings, occupations, firms, benefits, retention, and job quality.
- The mechanisms are familiar: screening, sorting, bargaining, firm treatment, policy incidence, household specialization, and amenities.
- The measurement problem is sharper: orientation, identity, legal category, perceived identity, and disclosure can differ.
- The welfare object is broader than pay: climate, concealment, harassment, safety, dignity, and benefit access matter.

Bridge from Weeks 1–9

Course block	Earlier object	Week 10 LGBTQ+ translation
Week 1	gender measurement	orientation, gender identity, disclosure, perception
Weeks 2–3	household allocation, human capital, sorting	family recognition, expectations, occupation choice
Week 4	hiring, promotion, firms	audits, callbacks, firm-specific barriers
Week 5	norms and institutions	stigma, disclosure, coworker and manager climate
Week 6	policy incidence	protection, marriage, benefits, insurance
Week 7	safety and hidden harms	harassment, concealment, dignity, retention
Week 8	comparative mechanisms	law, enforcement, benefits, public/private sectors
Week 9	data and methods	small cells, identity linkage, climate measures

Measurement is the estimand

Measured object	Good for	Main limit
Same-sex couple	household labor supply, benefits, specialization	misses unpartnered people and direct identity
Direct orientation question	self-identified orientation and outcomes	disclosure bias, sample size
Gender identity module	trans and nonbinary outcomes	small cells, privacy, wording changes
Administrative marker change	linked earnings dynamics	selected high-fidelity subgroup
Resume identity signal	employer response at screening	visible signal, not full population
Climate survey	hidden harms and support	hard to link to careers

Key empirical distinctions

Identity object

- sexual orientation
- gender identity
- legal category
- perceived identity
- disclosure or visibility

Labor margin

- applications and callbacks
- employment and earnings
- benefits and insurance
- promotion and retention
- climate, harassment, welfare

Employment, earnings, occupations, benefits

- Reviews show heterogeneous earnings and employment patterns across gay men, lesbians, bisexual workers, trans workers, nonbinary workers, couples, and settings.
- Administrative identity-linkage designs can observe earnings dynamics, but usually for selected measured groups.
- Occupation and firm gaps may reflect search, anticipated treatment, benefits, safety, climate, or prior exclusion.
- Employer-sponsored benefits are compensation: partner benefits, spousal coverage, dependent coverage, and leave can change welfare even without a wage change.

Hiring discrimination evidence

Design family	Identifying variation	Observed margin
Tilcsik-style audit	randomized gay identity signal on resumes	callback response
Sexual orientation and presentation audits	randomized application content	invitation or callback
Transgender hiring audit	randomized trans versus cis signal	employer response
Large-employer audit platform	randomized signals across many firms	callback plus firm heterogeneity

- These designs are clean for screening-stage discrimination.
- They do not identify post-hire wages, promotion, retention, disclosure costs, or workplace climate.

Workplace climate, disclosure, harassment

- Disclosure is not the same object as identity. It can be a choice under constraint or a response to expected treatment.
- Climate affects retention, search, promotion, voice, safety, wellbeing, and willingness to use benefits.
- Survey and list-experiment designs can measure stigma or support when direct reporting is sensitive.
- A zero wage gap does not imply zero harm if workers avoid firms, conceal identity, or bear hidden costs.

$$V = w - \phi h - \rho r - \psi H + B + A$$

Protection

- employer compliance
- worker beliefs
- reporting and applications

Recognition

- marriage
- specialization
- family labor supply

Benefits

- partner coverage
- spousal insurance
- dependent coverage

Legal recognition is an input; actual workplace treatment is an outcome to measure.

Transgender and nonbinary frontier

- Trans and nonbinary labor research faces small cells, privacy, changing categories, disclosure, and legal-documentation issues.
- Audit designs observe treatment of a signal at the hiring margin.
- Administrative linkage observes earnings and employment for measured subgroups over time.
- Survey and list experiments observe stigma, support, and perceived climate.
- The frontier contribution is often measurement plus identification, not only a new outcome table.

Method map

Method	Best observed margin	Core warning
Correspondence audit	screening and callbacks	not within-job treatment
Large-employer audit	firm concentration of barriers	still one stage of the match
Admin identity linkage	earnings and employment dynamics	selected measured group
Policy/event study	legal recognition or protection timing	law is not climate
Survey/list experiment	stigma, support, hidden attitudes	not direct career outcomes unless linked
Benefit records	employer compensation design	need worker take-up and valuation

Research opportunities

Opening	Contribution margin
Hiring to careers	link screening to entry, wages, promotion, retention
Hidden harms	measure climate, concealment, harassment, safety, dignity
Worker beliefs	separate employer discrimination from anticipated treatment
Firm heterogeneity	locate barriers by employer, occupation, manager, benefit regime
Trans and nonbinary measurement	distinguish legal category, identity, perception, disclosure
Benefits as compensation	study insurance, leave, family recognition, partner coverage
Comparative evidence	test which mechanisms travel across law and enforcement
Intersectionality	use powered, privacy-safe heterogeneity designs

- Reproduce: synthetic Tilcsik-style callback gaps from a randomized identity signal.
- Diagnose: compare gay identity-signal and transgender hiring-audit designs; name observed and hidden margins.
- Transfer: move from hiring audits to marriage-recognition and employer-benefit designs.
- Optional memo: administrative transgender earnings, large-employer audits, or benefit design as compensation.

Bridge to final synthesis

- 1 State the labor object.
- 2 Define the identity object.
- 3 Name the observed margin.
- 4 State the identifying variation.
- 5 Separate selection, hiring, within-job treatment, law, and climate.
- 6 Say which welfare margins remain hidden.

This is the same final-project discipline as the rest of the course, with harder measurement and richer welfare stakes.